

## 25STCV08871 25STCV08871

County: los-angeles

Division: Civil Law and Motion

Department: 507

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Case Number: 25STCV08871 Hearing Date: July 16, 2026 Dept: 507

Tentative

Ruling

Judge Nicholas

F. Daum, Department 507

HEARING

DATE: July 16, 2026 TRIAL DATE: NOT SET

CASE: RHH Automotive Inc. v. Landmark Am. Ins.  
Co.

CASE

NO.: 25STCV08871

Motion for Attorney Fees and

Litigation Costs Pursuant to Code of Civil Procedure, Section 128.5

MOVING

PARTY: Defendant Landmark Am. Ins. Co.

RESPONDING

PARTY(S): Plaintiff

RHH Automotive, Inc.

RULING:

Landmark's

motion for fees and costs pursuant to Code of Civil Procedure section 128.5 is DENIED.

While the record demonstrates negligence and objective bad faith, it does not demonstrate the subjective bad faith essential for an award of sanctions under section 128.5.

The Court's denial should not be taken as approval of the conduct of RHH Automotive or its counsel, namely Andrew M. Jacobson and Walter J. Lack from the Engstrom, Lipscomb & Lack firm.

Moving Party to give notice.

#### BACKGROUND:

On April 29, 2026, this Court sustained Landmark's demurrer in this action without leave to amend. The Court sustained the demurrer because Landmark was a suspended corporation without standing to bring this action. The Court denied leave to amend because the Court found that RHH's counsel (primarily, Andrew M. Jacobson and Walter J. Lack from the Engstrom, Lipscomb & Lack firm) had misrepresented RHH's corporate status to the Court and to the opposing party, Landmark, over a matter of months. The Court found that RHH and its counsel had no reasonable justification whatsoever for their actions.

Specifically, the Court found that:

On September 30, 2025, counsel stated in a declaration that "Plaintiff is revived as of August 13, 2025, with the paperwork attached hereto." That was not accurate. The record RHH submitted was merely an application for a Certificate of Revivor, not an executed certificate. (See Opposition to Motion for Judgment on the Pleadings Exh. A.) RHH maintained in its opposition to the demurrer that it had been revived. But that was also incorrect. Its opposition offered no explanation for why public records directly contradict this position. The application for revival was

filed on August 13, 2025. RHH had ample opportunity to obtain a revival before the demurrer hearing on April 22, 2026. It failed to do so.

In advance of the hearing on April 22, 2026, the Court issued a tentative ruling highlighting the issue, and also pointing out that it appeared that counsel had misrepresented the facts regarding corporate status to the Court. The Court set an OSC hearing on the misrepresentation and potential referral to the State Bar for counsel. Only after a tentative ruling on the demurrer issued days before the hearing—and only after months in which a demurrer had been pending, and following a motion for judgment on the pleadings on the same issue—did RHH make efforts to revive its corporate status. At the time the demurrer was heard, RHH's corporate status was plainly not revived.

RHH's excuse for its prior misrepresentations to the Court is that, in a corner of the August 13, 2025 application there is a box marked "This area for FTB use only." In that box, there are a number smaller boxes, such as "FTB" "Suspension" "Forfeiture" "Secretary of State" and "Restored." A box marked "Revived" is checked.

From that mark on the application, according to counsel, counsel concluded that RHH's corporate status had been revived. According to counsel's representations at the hearing held on April 29, 2026, the "client" had also understood that revival had occurred, perhaps based on conversations between RHH and the FTB, although the nature of any communication between the FTB and RHH itself was unspecified.

Counsel may have honestly believed that the checked-box portion in the corner of the application for Certificate of Revivor meant that the corporation had been revived. But that belief was not in any way reasonable. First, the document upon which counsel rested the assertion that the corporate status had been revived was an application for a Certificate of Revivor. The box on the form, given the other options, appears simply to indicate that the application was for a revival of the corporation, not that corporate status had in fact been revived. At least absent some other indicator, it was unreasonable to rely on the check on the box to conclude that corporate status was revived. Second, as noted, the date of the application was August 13, 2025. RHH submitted its opposition to the instant demurrer on April 9, 2026, approximately nine months later. By that

time, no Certificate of Revivor had issued.

That no certificate of revivor was provided in that entire period should have given rise to at least a reasonable suspicion that the corporation had not been revived. Third, it is a trivial and routine matter to confirm a corporation's corporate status via the FTB's website<sup>7</sup>. The Court takes judicial notice that this can be done in a matter of minutes simply by entering basic information about the corporation. The court further takes judicial notice that attorneys routinely do so to verify corporate status. Given that the issue of corporate status was put before RHH on multiple occasions (both in the motion for judgment on the pleadings and in the instant demurrer) a failure to simply check the FTB's website to confirm status itself appears to the Court to have been unreasonable. It was particularly unreasonable to fail to check the FTB's website before making representations about corporate status to the Court.

Thus, while the Court does not have enough information from which to conclude that counsel's misrepresentation was intentional, it does have enough information to conclude that a misrepresentation occurred and that it was, at a minimum, significantly negligent and not excusable.

4/29/26 Minute Order at 4-5.

#### DISCUSSION:

For the reasons noted in its ruling of April 29, the Court finds the actions of RHH and its counsel to be, at a minimum, unreasonable and improper. RHH obviously knew or should have known about the suspended corporate status. RHH and its counsel obviously should not have believed that an application for revival of corporate status was the same thing as a revival. At a minimum, after Landmark filed its second demurrer pointing out the corporate-status problem, RHH should have fixed the issue. It did not. Accordingly, its failure was inexcusable. For that reason, as explained in the Court's prior ruling, the Court sustained Landmark's demurrer without leave to amend.

Landmark, perhaps understandably, has now brought a motion for sanctions under Code of Civil Procedure section 128.5. Landmark seeks to recover fees it incurred in

connection with the demurrers that were caused by RHH's conduct.

The Court must deny the motion because of the strict requirements for Section 128.5 sanctions. Section 128.5 allows the Court to order a party, or counsel, or both "to pay the reasonable expenses, including attorney's fees, incurred by another party as a result of actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay." (Id., at subd.(a).)

Under a former version of this statute, it was unclear whether sanctions under section 128.5 required a showing of subjective bad faith, or whether a showing of mere "objective" bad faith, i.e., that the conduct was "objectively" unreasonable, would suffice. (See *San Diegans v. Open Government v. City of San Diego* (2016) 247 Cal.App.4th 1306, 1318-19 [now overruled by statute].) If an objective bad faith standard applied, the Court would have little difficulty finding objective bad faith and awarding sanctions.

However, in 2017, the Legislature amended section 128.5. In so doing, the Legislature made clear that section 128.5 sanctions require a showing of subjective bad faith. (Marriage of Sahafzadeh-Taeb & Taeb (2019) 39 Cal.App.5th 124, 134-35.) Under the subjective bad faith standard, there must be not only a showing that an attorney or party did something that no reasonable attorney or party would have done, but that the motives of the attorney or party were improper, i.e., that the actions were in fact taken for an "improper purpose." (Id. at p. 135.)

Here, for the same reasons explained in its order of April 29, the Court does not believe that there has been a sufficient showing of subjective bad faith. Counsel's excuse for the conduct—that counsel was in possession of an application form with a checked box—is not, given all the circumstances, reasonable. But the Court cannot conclude from that unreasonable alone that counsel acted deliberately, willfully, or intentionally for an improper purpose. RHH and its counsel may have acted honestly, if unreasonably.

True, courts often infer subjective bad faith from objectively unreasonable conduct. (See *Gemini Aluminum Corp. v. California Custom Shapes Inc.* (2002) 95 Cal.App.4th 1249, 1263 [inferring subjective bad faith from objective circumstantial evidence].) But this Court declines to do here. Among other reasons, there was little obvious

reason for RHH and its counsel to have acted in subjective bad faith. Their ongoing and inexplicable refusal to revive corporate status despite every indication that they needed to do so was of no obvious benefit. Rather, as happened here, the action was dismissed as a result of their failure to deal with the corporate-status issue—a problem that would have been simple enough for RHH and its attorneys to resolve.

From the circumstantial evidence alone, the Court cannot infer subjective bad faith. And there is no direct evidence of subjective bad faith. Taken together, that lack of evidence is fatal to Landmark's motion under section 128.5.

RHH and its counsel should not read this ruling as condoning or excusing their conduct. As explained, no reasonable attorney or party could have acted as RHH and its counsel did.

The Court hopes sincerely that so stating will lead to better behavior in the future. (Sadly, RHH's opposition to this motion, which appeared to take the offending conduct lightly, was perhaps the only thing that gave the Court pause as to whether RHH and its counsel had in fact acted deliberately.) But, applying the legal standards that apply to motions under section 128.5, the Court cannot and will not impose sanctions.

#### CONCLUSION:

Landmark's motion for fees and costs pursuant to Code of Civil Procedure section 128.5 is DENIED.

While the record demonstrates gross negligence and objective bad faith, it does not demonstrate the subjective bad faith essential for an award of sanctions under section 128.5.

The Court's denial should not be taken as approval of the conduct of RHH Automotive or its counsel, namely Andrew M. Jacobson and Walter J. Lack from the Engstrom, Lipscomb & Lack firm.

Moving Party to give notice.

IT IS

SO ORDERED.

Dated: July 16, 2026 \_\_\_\_\_

Nicholas

F. Daum

Judge

of the Superior Court